Tata Consultancy Services

TCS

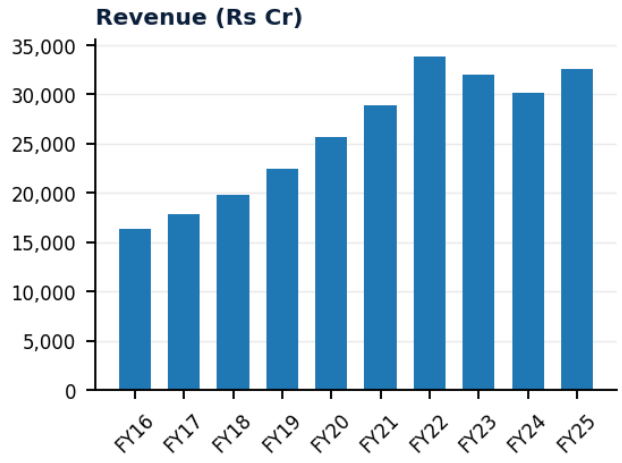
Sector: IT

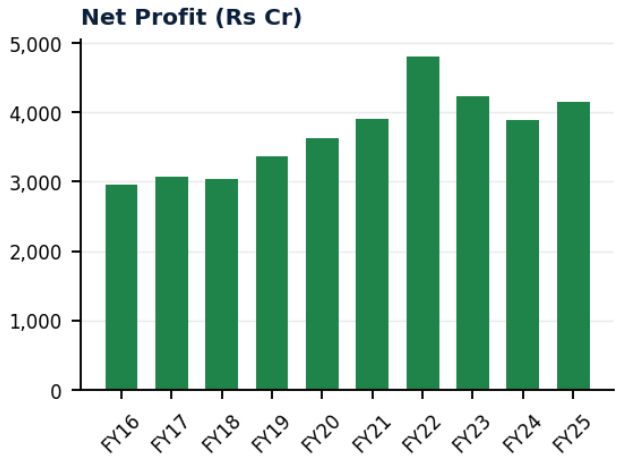
Key performance indicators (FY2025)

Revenue (Rs Cr)	Net Profit (Rs Cr)	Operating Margin (%)
32,559	4,145	18.9%

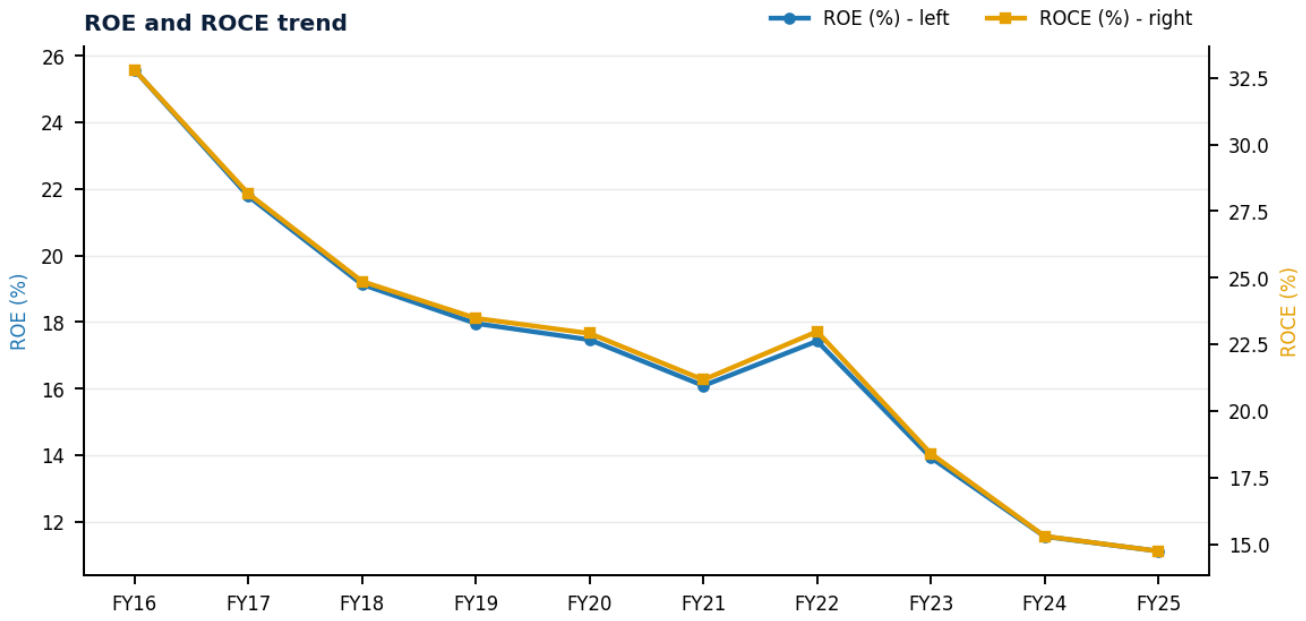
ROE (%)	ROCE (%)	Debt / Equity (x)
11.1%	14.7%	0.01x

10-year Revenue and Net Profit

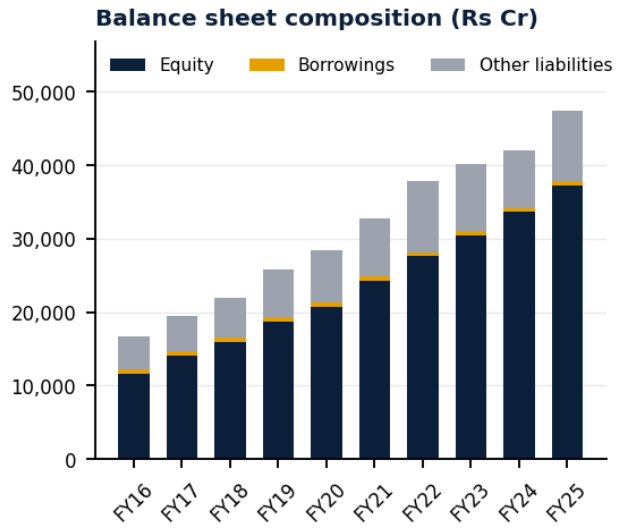


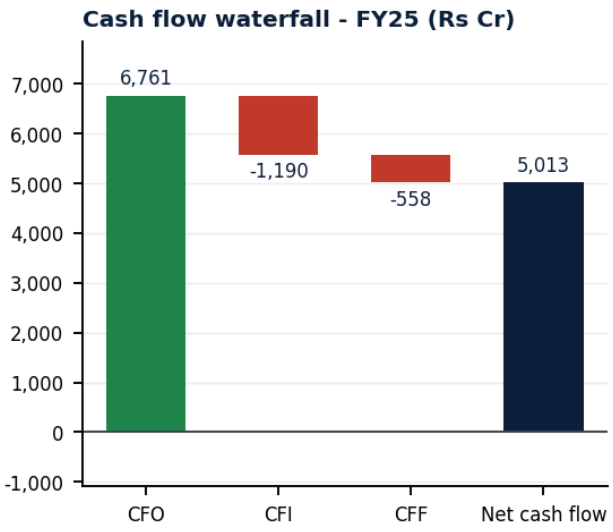


Return ratios (ROE and ROCE)



Balance sheet composition and cash flow





Pros - what the numbers favour

- Strong free cash flow generation over 5 years signals healthy business fundamentals (100%)
- Very high interest coverage ratio reflects negligible financial stress from debt servicing (100%)

Cons - what to watch

- Earnings per share declining for 3 consecutive years reflects deteriorating profitability (68%)
- Operating margins declining for 3 consecutive years suggest pricing or cost pressure (68%)
- Revenue growing at below 5% over 5 years lags inflation and suggests limited business momentum (61%)

Capital allocation pattern (FY2025)

Reinvestor

Cash flow intelligence

CFO quality	CapEx intensity	Distress signal	Deleveraging
High Quality (1.20)	**Moderate (3.6%)**	**No**	**Yes - repaying debt**